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**Are IMF-recommended policies always effective in post-crisis recovery?**  
*A critical assessment of theory versus outcomes in emerging economies.*

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## Abstract

This mémoire looks at whether the IMF (International Monetary Fund) recovery programs are always helpful for countries that request them, or whether they sometimes cause more problems because they are too strict and not flexible enough for real-world situations. In other words, they may work well in theory but not in practice. To explore this, we use a combination of theoretical analysis, economic modelling, literature review, and case studies of two countries where the IMF has intervened: Argentina and Iceland.

Argentina closely followed the IMF's set of rules, referred to throughout the mémoire as "the playbook," but failed to stabilize its economy. Iceland, by contrast, adopted a more flexible approach with IMF approval and achieved a relatively fast and inclusive recovery.

Through this comparison, the mémoire identifies key factors that determine the success or failure of IMF programs. The analysis shows that the IMF model, although based on macroeconomic theory, often falls short when applied without sufficient regard for a country's political and institutional realities. In the end, this research highlights the need for greater adaptability, stronger national engagement, and more context-specific strategies if IMF programs are to succeed in promoting long-term recovery, rather than focusing only on short-term results that meet technical targets.

## Introduction

The International Monetary Fund (IMF) plays a central role in managing financial crises in countries when they're in serious financial trouble. It's like a financial backup, a lender of last resort that provides financial assistance, usually in the form of loans, to countries facing serious economic imbalances like high debt, fiscal instability, currency depreciation, or collapse of investor confidence. Following the oil shocks of the 1970s and the debt crisis of the 1980s, the IMF shifted its focus when it came to managing the crises of countries in need, by concentrating on controlling inflation, fiscal discipline, and improving public spending.

Over time, the IMF began asking countries to make even bigger changes, including structural and institutional reforms such as liberalization "opening up their markets", privatization "selling off state-owned companies", and public sector restructuring. Therefore, a country requesting the intervention of the IMF would need to accept this set of required policies attached to IMF loans (Bird and Willett, 2004; IEO, 2007).

At first, the IMF's loan conditions were mainly focused on fixing countries' balance of payments problems and restoring economic stability by managing inflation, improving budgets, etc. (IMF, 2005). However, over time these conditions evolved into a broader

development strategy. Basically, what this means is that the IMF started getting involved in deeper long-term reforms such as restructuring government systems or entire industries.

This change in vision generated growing controversy. Critics from the political left, for example, argued that IMF programs were too harsh, ineffective, and would worsen social inequality. Meanwhile, conservative economists argued the opposite: they believed that these programs only failed because countries didn't fully follow through on the required reforms (Bird and Willett, 2004; IEO, 2007).

In response, the IMF acknowledged the need to streamline conditionality, in other words to make its conditions simpler and focus more on its core mission, which is helping countries fix big economic problems like debt and inflation. Still, however, to make important policy changes, the institution still believes in conditionality (IMF, 2005).

Recent research has questioned the effectiveness of the IMF's approach in promoting sustained economic growth. Some experts like Joseph Stiglitz and Vreeland argue that the IMF uses a "one-size-fits-all model," which basically means that it applies the same solutions to every country without considering their unique situations. This model lacks flexibility and often causes reforms to fail and can even lead to public protests and unrest (Stiglitz, 2000, 2001, 2004; Vreeland, 2006).

In contrast, other researchers like Krueger and Rodrik suggest that the real issue is that many countries agree to the IMF's conditions but can't fully commit and implement them. When parts of the reform package aren't implemented, the whole plan can fall apart (Krueger, 2004; Rodrik, 2006).

Unfortunately, the data isn't clear enough to resolve this debate. It's hard to measure whether countries actually followed the rules or to prove what caused the outcomes (Goldstein, 2001).

Because of this uncertainty, many economists including Rodrik, Qian, Easterly, and the World Bank now argue that the IMF should use more flexible and tailored strategies. They suggest focusing on each country's specific problems, using tools like growth diagnostics and identifying the biggest constraints to progress (Rodrik, 2005; Qian, 2003; Easterly, 2008; World Bank, 2005).

Given all this, other economists argue that IMF programs often fail because the organization sticks to orthodox thinking, meaning it sticks to traditional economic ideas and is unwilling to try new methods (Rodrik, 2006; Woods, 2006). The problem isn't just with the policies but also with how the IMF is set up internally. It lacks fresh ideas and limits innovation in how policies are applied to each country (Momani, 2005). Because of this rigid thinking, countries that closely follow the IMF's strict advice often don't recover as expected, instead they remain stuck or even experience economic stagnation.

This leads to the following research question:

## **Are IMF-recommended policies always effective in promoting post-crisis economic recovery, or does the gap between theoretical assumptions and real-world conditions undermine their success in emerging economies?**

The question of how countries recover from economic collapse, particularly with the involvement of international institutions like the IMF, is central to the field of international economics. Many countries go through similar crises and receive similar support, yet their outcomes are completely different. As a student of international economics, I wanted to understand why. This topic is also especially relevant today, as more countries are turning to the IMF in times of crisis like Ukraine in the near future, with the ceasefire and talks on the war ending, or Lebanon, my home country, which is currently in negotiations. It's a very real and current issue, not just a theoretical one.

To answer this question, the structure of the mémoire is built around a logical progression. First, it presents the theoretical foundations of the IMF's recovery framework. Then, it looks at the major academic debates about whether these IMF strategies actually work in real life, followed by two case studies. Argentina and Iceland chosen because they represent very different outcomes despite receiving IMF assistance. Finally, a comparative analysis explains why the same policies led to different results and what this means for future recovery strategies. This structure is designed to allow a step-by-step confrontation between theory and reality, and to test the problematic from multiple angles. Economic, institutional, and political.

## **PART 1: Theoretical and Analytical Foundations**

Before evaluating whether IMF recovery programs actually work, we first need to understand the institution's framework and policy logic. This part presents the theoretical foundations of the IMF's intervention strategy in times of crisis. It is divided into three chapters:

Chapter 1.1 traces the historical evolution of IMF conditionality;

Chapter 1.2 explains the main tools and objectives of its recovery programs (the playbook);

Chapter 1.3 presents the economic models that support and justify these policies.

Throughout these chapters, relevant academic literature and critical perspectives are integrated to provide context and contrasting viewpoints. Together, they lay the groundwork for the case studies and comparisons that will come later in the mémoire.

### **Chapter 1.1 The Historical Evolution of IMF Conditionality**

The International Monetary Fund (IMF) was created in 1944 during the **Bretton Woods Conference**<sup>1</sup>. Its original purpose was to encourage global monetary cooperation, keep

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<sup>1</sup> The Bretton Woods Agreements were made in 1944 by 44 countries during a conference in Bretton Woods, New Hampshire (USA). The goal was to rebuild the global economy after World War II

exchange rates stable, and give short-term financial help to countries struggling to pay for imports and maintain their currency value.'

In its early years, the IMF had a limited role. It mainly gave temporary loans to help countries fix short-term problems with their international payments, without asking them to change their domestic policies (Bird and Willett, 2004).

But this changed after the oil crises of the 1970s and especially during the world debt crisis in the 1980s. These crises created deeper, long-term problems, not just short-term ones. In response, the IMF began using systematic conditionality, meaning that countries had to follow specific policy rules in order to get financial support (IEO, 2007).

At first, these conditions were meant to help countries stabilize their economies and ensure they could repay the IMF. But over time, they grew to include much broader reforms, such as changes to how entire economies were managed and not just budgets or interest rates.

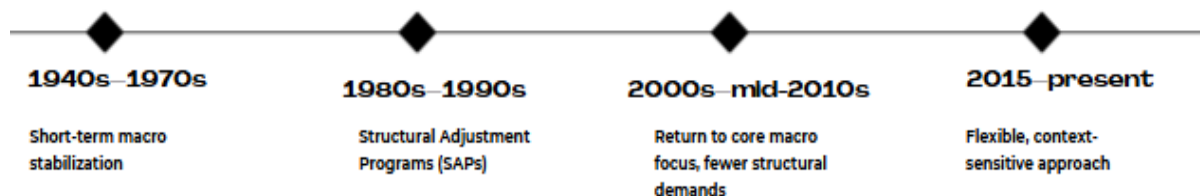
This change in the IMF's role became especially clear with the launch of Structural Adjustment Programs (SAPs) in the 1980s. These programs were used mostly in Latin America and Sub-Saharan Africa because they faced massive, long-term debt and inflation crisis and these weren't temporary problems anymore, moreover the entire system is broken. Therefore, to receive IMF loans, countries had to carry out major reforms like cutting government jobs and spending, opening up trade, and selling off state-owned companies.

By the 1990s, the IMF got involved in even more regions and crises, helping former socialist countries in Eastern Europe like the USSR transition to market economies. According to Momani (2005), this broader involvement showed that the IMF believed long-term growth required more than just fixing inflation or budgets. It also meant changing institutions such as improving laws, strengthening government systems, and fighting corruption.

Economists like Stiglitz (2002) and Vreeland (2003) criticized this expanded role, arguing that the IMF imposed a neoliberal agenda that often led to more poverty and social inequality. In the 2000s, criticism of the IMF grew stronger, especially as studies showed that its programs didn't always lead to clear or consistent improvements. Economists like Rodrik (2006) and Khan (1999) argued that IMF conditionality often failed because it didn't take into account the specific situation of each country, the same solutions were being applied everywhere, even when they didn't fit.

In response to this, the IMF started trying to "streamline" its approach around the mid-2000s. This meant reducing the number of conditions tied to its loans and focusing more on its core strengths, like managing inflation, budgets, and exchange rates (IMF, 2005; IEO, 2007).

# EVOLUTION OF IMF RECOVERY STRATEGY



**Figure 1.** The Evolution of the IMF’s Recovery Strategy Over Time

*Source: International Monetary Fund (IMF)*

## Chapter 1.2 The IMF Playbook: Tools, Objectives, and Policy Logic

### 1. The Goals of IMF Recovery Programs

When a country goes through a financial crisis, the IMF's main goal is to bring back macroeconomic stability and stop the economy from future deterioration. Basically, what this means is: stabilizing the national currency, reducing inflation, regaining the trust of investors, and making sure the country can pay back its foreign debts. According to the IMF (2005), the purpose of these actions is to fix problems in the country's balance of payments while laying the groundwork for future economic growth.

Another important goal is to restore control over fiscal and monetary policies. As Bird and Willett (2004) explain, the logic behind this is that a stable macroeconomic environment encourages investment, trade, and integration into global markets, which is the starting point for long-term development.

### 2. Core Tools and Conditionality: The “IMF Playbook”

To achieve its recovery goals, the IMF uses a set of well-known tools. This set of tools is often called the IMF playbook. While the exact details may be adjusted slightly for each country, the general structure remains the same across all IMF programs.

One of the most common tools is fiscal austerity, which involves reducing public budget deficits by cutting government spending, increasing taxes, or both. The aim is to stabilize public finances, control inflation, and signal to international markets that the government is serious about fixing its economy (IMF, 2005). This, however, comes with real-life pain, especially for ordinary people who rely on public services or jobs.

The second tool is monetary tightening, which focuses on controlling inflation and supporting the currency. The IMF often encourages central banks to raise interest rates to fight inflation. The logic behind this is that such a policy will help stop money from flowing out of the country (known as capital flight) and can help stabilize the financial system. However, this can slow down economic activity in the short term, as people and businesses will borrow less and have less money to spend.

The IMF also promotes structural reform as part of its programs. This can include labor market reform which means, making it easier to hire and fire workers, changing pension systems to reduce costs, and changes in trade and investment policies. The goal here is to make the economy more efficient and competitive, but as critics have said, these are considered very harsh measures.

Privatization is another element frequently recommended by the IMF. This means selling off government-owned businesses like airlines or telecom companies to private investors. The IMF believes that this can bring in money for the government, improve efficiency since private companies are seen as better run, and attract foreign capital.

In many cases, the IMF also advises changes to the exchange rate regime, because countries with fixed or overvalued exchange rates make their exports too expensive. So the IMF's policy is to devalue the currency or to switch to a floating exchange rate regime. This can make exports cheaper and improve the trade balance, but it can also make imports more expensive and fuel inflation in the short term.

All these tools are tied to **conditionality**, the idea that a country must agree to specific reforms to receive IMF money. The reforms are usually broken into phases. The country gets part of the loan, and more money comes only if it meets certain milestones (IEO, 2007). This system is meant to encourage discipline and follow-through, but it also gives the IMF a lot of influence over domestic policy decisions.

So, in short, the IMF's recovery strategy is based on a mix of budget tightening, monetary control, economic liberalization, and exchange rate adjustments. All enforced through conditions. These policies are meant to restore stability and build a foundation for growth, but they also raise serious concerns about their social and political costs, especially in the short term.

## Chapter 1.3 Economic Models Behind IMF Strategies

Some economists might argue that the IMF approach to crisis management and recovery is too harsh, or sometimes ineffective. However, it is not arbitrary, rather it is grounded in well-established macroeconomic theory. These theories help explain why the IMF recommends certain actions, like tightening government budgets, adjusting interest rates and exchange rates, and managing debt sustainability. This part of the mémoire introduces the main economic models that shape the IMF's strategy.

### *1. IS-LM-BP Model and the Logic of Stabilization*

The IS-LM-BP model is one of the most important tools used to understand how the IMF designs its policy recommendations. It builds on the traditional IS-LM framework, which already helps explain how the goods market (IS) and money market (LM) interact within a closed economy. The IS-LM-BP model extends this by adding the BP curve, which represents the external sector. In other words, a country's balance of payments, or its financial transactions with the rest of the world.

In this model, each curve has a specific role. The IS curve shows where demand equals supply in the goods market, representing combinations of income (or output) and interest rates that lead to equilibrium. The LM curve represents equilibrium in the money market, where the

demand for money equals the supply set by the central bank. The BP curve shows the combinations of interest rates and income levels that ensure external balance, meaning the country's international financial position remains stable, without excessive borrowing or capital flight.

This model helps explain how monetary and fiscal policy work in an open economy, depending on the type of exchange rate system in place (fixed or floating) and how easily capital can move across borders (capital mobility).

Under a fixed exchange rate and perfect capital mobility, the model shows that monetary policy becomes ineffective. Any attempt by a central bank to change interest rates is quickly offset by capital flows, because the central bank must intervene to maintain the fixed exchange rate. In contrast, in this situation, **fiscal policy** such as government spending or taxation becomes a powerful tool, since it can influence demand directly without triggering exchange rate adjustments.

However, when a country has a floating exchange rate and high capital mobility, the model suggests that monetary policy becomes more effective. Changing interest rates can influence capital flows and exchange rates directly, without the need to defend a fixed currency value. In this case, **monetary policy** becomes more effective.

The IMF frequently draws on this model when advising countries in crisis. For example, in cases of high inflation, fiscal deficits, or large current account imbalances, it may recommend raising interest rates, cutting government spending, or allowing the exchange rate to adjust more freely. These recommendations are based on the logic of the IS-LM-BP model, which helps the IMF decide which tools are most appropriate for achieving both internal stability (like controlling inflation and reducing deficits) and external stability (like fixing trade imbalances and stabilizing capital flows).

| Condition                                      | IMF Policy      |
|------------------------------------------------|-----------------|
| Fixed exchange rate + High capital mobility    | Fiscal Policy   |
| Floating exchange rate + High capital mobility | Monetary Policy |

**Figure 2.** IMF Policy Choices based on the IS-LM-BP Model

## 2. Debt Sustainability Analysis (DSA)

This paragraph introduces a key tool the IMF uses called Debt Sustainability Analysis (DSA). Its main purpose is to determine whether a country's public debt can stay on a stable or declining path over time. In simpler terms, the DSA assesses whether the country will be able to continue repaying its debt without needing to make major, disruptive policy changes in the future.

To make this assessment, the IMF relies on projections of several key indicators. These include the debt-to-GDP ratio, which compares the amount of government debt to the overall size of the economy, and the primary balance, which measures the government's budget balance

before interest payments. It also considers the interest rate on debt and the expected growth rate of the economy.

The of the economy ( $g$ ), and the country is running a **primary deficit**<sup>2</sup>, then the debt central idea is that if the interest rate ( $r$ ) is higher than the growth rate burden will increase over time. In that case, the debt-to-GDP ratio will rise, making the debt less sustainable. This is the logic behind the IMF's frequent recommendation for fiscal consolidation reducing the government's budget deficit. By tightening public finances through spending cuts or tax increases, the country can restore investor confidence and ensure that its debt remains manageable in the long term.

### *3. Time Inconsistency & Credibility (Kydland & Prescott)*

The theory of time inconsistency and policy credibility, developed by Kydland and Prescott (1977), is another important idea behind how the IMF operates. This theory explains a common problem. Sometimes, governments announce strong economic policies like strict budgeting or anti-inflation plans but later go back on their promises due to political pressure or short-term interests. For example, they might plan to cut spending but then cancel those cuts when people protest or an election is near.

When this happens, the government loses credibility in the eyes of investors and markets. People stop believing that the country will stick to its economic plans, which makes it harder to attract investment or stabilize the economy.

The IMF steps in to help solve this credibility problem. As an outside institution, it provides financial assistance on the condition that the country follows certain policies. These are known as policy conditionality. The IMF also monitors the country's progress over time. Because of this, the country is more likely to stick to its reforms, since breaking the agreement could mean losing the IMF's support.

This added credibility is especially important during and after a crisis, when a country needs to rebuild trust with investors, attract capital, and stabilize its economy.

### *4. Inflation vs Unemployment (Phillips Curve logic)*

The Phillips Curve framework is another key economic idea that supports the IMF's emphasis on fighting inflation, usually through monetary tightening (raising interest rates). The original Phillips Curve shows an inverse relationship between inflation and unemployment, meaning that when a country reduces inflation, it often faces higher unemployment in the short term, and vice versa.

However, this trade-off doesn't last forever. Over time, especially if people don't believe inflation will stay low, the link between inflation and unemployment becomes weaker. In other words, if inflation expectations are unstable, the benefits of tolerating some inflation to avoid unemployment may disappear.

That's why the IMF often recommends raising interest rates to control inflation, even if it slows down economic growth or increases unemployment in the short run. The belief is that long-term stability is worth this short-term cost. This recommendation is especially common in

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<sup>2</sup> The government is spending more than it earns,  $G > T$ .

countries facing hyperinflation or severe currency depreciation, where bringing inflation under control is seen as the top priority for restoring economic order.

All the models discussed, like the IS-LM-BP model, Debt Sustainability Analysis, the theory of time inconsistency, and the Phillips Curve make up the intellectual backbone of how the IMF builds its recovery strategies. Each model helps justify a specific part of the IMF's policy playbook, such as austerity, raising interest rates, structural reforms, or adjusting currency values. These models aren't just theoretical, they are directly used in the IMF's technical work, including the country reports, economic forecasts, and the actual design of programs offered to countries in crisis.

However, even though these models provide a solid theoretical framework, there's an ongoing debate about how well they actually work in the real world, especially in countries with complicated social, political, and economic conditions. The next section of this *mémoire* will take a closer look at this debate and evaluate how these models perform when applied in practice.

## **Part 2: Literature Review – Academic Perspectives on IMF Recovery Programs**

Before analysing the case studies, it's important to look at what the academic literature says about the effectiveness of IMF recovery programs. This part gives a short overview of the main debates among economists, presenting both arguments in favor of the IMF's approach and the key criticisms against it.

Chapter 2.1 explains the logic behind IMF conditionality and the reasons why some economists believe it helps restore stability.

Chapter 2.2 focuses on the main criticisms, especially around social impact, lack of flexibility, and limited effectiveness.

Together, these sections give a balanced view of the literature and prepare the ground for the country case studies in the next part

### **Chapter 2.1 The Logic Behind IMF Conditionality and Arguments in Favor**

The International Monetary Fund (IMF) uses conditionality as a key part of its financial assistance programs. This means that when a country receives help from the IMF, it must agree to carry out certain economic reforms. The goal of conditionality is to restore macroeconomic stability and support sustainable growth. Supporters of this approach argue that conditionality is important because it both guides countries toward the right policies and ensures that they follow through. It helps make sure that governments tackle the root causes of their economic problems, rather than just treating the symptoms.

One of the main theoretical arguments for conditionality comes from the monetary approach to the balance of payments, developed by **Jacques Polak**<sup>3</sup>. According to this model, problems in the balance of payments for example, when a country imports more than it exports and runs out of foreign currency are mainly caused by monetary issues. These imbalances happen when a country expands domestic credit too quickly, creating more money than the economy actually needs. This creates pressure on prices, interest rates, and ultimately the currency. Based on this logic, the IMF often recommends monetary and fiscal tightening meaning higher interest rates and lower government spending to reduce excess demand, stabilize the currency, and bring the external accounts back into balance. These measures are also meant to restore investor confidence.

Several empirical studies have looked at whether conditionality actually works in practice. For example, Dreher (2006) found that countries that follow IMF programs often see improvements in controlling inflation and balancing their public finances especially when they have strong institutions that can support reform. Similarly, Bird and Willett (2004) argue that conditionality helps countries build policy credibility. When a country commits to IMF-backed reforms, it sends a strong signal to international investors and donors that it is serious about change. This can help attract more external financing and encourage investment.

The idea of ownership is also seen as crucial for the success of IMF programs. According to Bird and Willett (2004), reforms are more likely to succeed when governments are actively involved in designing and carrying out the measures rather than just following orders from the IMF. When policies reflect national priorities and have local support, they are more likely to be implemented properly and to last over time. This is what gives the program legitimacy and makes it more sustainable.

In recent years, the IMF has also stressed that its conditionality should be adaptable. Not all countries are the same, and the conditions attached to financial support should reflect each country's unique situation. The IMF's official guidelines highlight the principles of parsimony (keeping conditions limited to what is strictly necessary) and criticality (focusing only on measures that are essential for program goals). This is meant to strike a balance between enforcing reform and respecting a country's sovereignty and social stability.

In short, the literature shows that IMF conditionality can be effective when it is carefully designed, when countries take ownership of the reforms, and when the program fits the country's context. Conditionality gives governments a structured plan for reform and helps them show that they are committed to responsible economic management. This can boost their credibility, attract outside support, and support their path to recovery.

## Chapter 2.2 Key Criticisms of IMF Programs

Many scholars have raised serious concerns about how effective IMF programs really are especially when it comes to their social impact, their rigid, one-size-fits-all nature, and how well they actually fit with the institutional realities of the countries they are applied to. These

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<sup>3</sup> **Jacques Polak** was a Dutch economist and long-time IMF official who developed the monetary approach to the balance of payments, which became a foundational framework for IMF policy design during the postwar period.

critics argue that even though the IMF aims to help countries stabilize and recover, its policies often end up hurting the very people they are supposed to support.

One of the most common criticisms is about the social consequences of austerity that is, the spending cuts and tight budgets that countries are required to adopt under IMF conditionality. According to Stiglitz (2002), when governments are forced to reduce their budgets during a crisis, they often end up cutting essential services, like healthcare, education, and social protection. At the same time, tight monetary policy usually through higher interest rates can lead to job losses and further shrink the economy (Philips Curve model). Stiglitz argues that these policies tend to hit the poorest and most vulnerable people the hardest, making it even harder for societies to rebuild after a crisis.

A similar argument comes from Easterly (2001), who studied the effects of structural adjustment programs promoted by the IMF. He found that even when countries manage to return to growth, this growth does not necessarily reduce poverty. In other words, the link between economic recovery and real improvement in people's lives is often broken under these programs. This raises concerns about whether the IMF's approach actually supports inclusive and lasting development.

A second major criticism concerns the uniformity of IMF policy advice, often described as the "one-size-fits-all" approach. According to Rodrik (2006), the IMF tends to offer countries a standardized package of policies usually centered around market liberalization, fiscal austerity, and privatization regardless of local conditions. The problem with this, he argues, is that the IMF often overlooks the institutional and political realities of the countries it's trying to help. As a result, the reforms may look good on paper, but in practice, they may be too difficult to carry out, politically unrealistic, or even socially destabilizing. In the same spirit, Khan (2001) adds that the IMF often underestimates how complicated it is to sequence reforms properly in fragile or weak states. Reforms like opening up trade or cutting subsidies may come too early, before institutions are strong enough to handle them, which can leave countries exposed to more instability.

A third line of critique focuses on the failure of implementation, not because of bad intentions, but because of institutional and political weaknesses in borrowing countries. Vreeland (2003) argues that many countries simply cannot fully implement IMF reforms, especially when the demands are too ambitious for the local context. This is especially true in fragile democracies or divided political systems, where leaders may not have enough control to push through unpopular reforms. Khan (2001) similarly notes that even when a program is well designed, it won't succeed if the government lacks the technical skills or governance structures needed to make it work. In such cases, failure may reflect local limitations rather than flaws in the IMF's policies themselves.

Together, these critiques paint a picture of an institution whose intentions may be sound but whose methods often fall short in practice. While IMF programs are meant to restore economic stability, they have also been accused of contributing to prolonged recessions, increasing inequality, and failing to respect the political and social context of the countries they aim to help. These issues are particularly relevant when evaluating how such programs have played out in the real-world cases examined in the next Part.

## Part 3 Case Studies: IMF Programs in Practice

Now that we arrive at the most important part of the *mémoire* which is the real-world outcomes. It's time to confront theory with practice. After reviewing the IMF's official framework and the major academic debates, this part looks at how IMF programs actually played out in two countries: Argentina and Iceland. These cases offer sharply contrasting outcomes from economic collapse to rapid recovery despite both receiving IMF support.

The goal of this section is to understand what went right, what went wrong, and why. For each country, we begin by looking at the economic and political context before the IMF's intervention. We then examine the main objectives and conditions of the program, followed by what was actually implemented on the ground. Finally, we evaluate the economic and social results, and whether they aligned with the IMF's stated goals.

Argentina followed the IMF playbook closely but experienced deepening crisis and default. Iceland, on the other hand, was allowed more flexibility, implemented unorthodox measures, and recovered more quickly than expected. This contrast allows us to critically assess not only the policies themselves but also how important context, institutional strength, and political flexibility are in determining success.

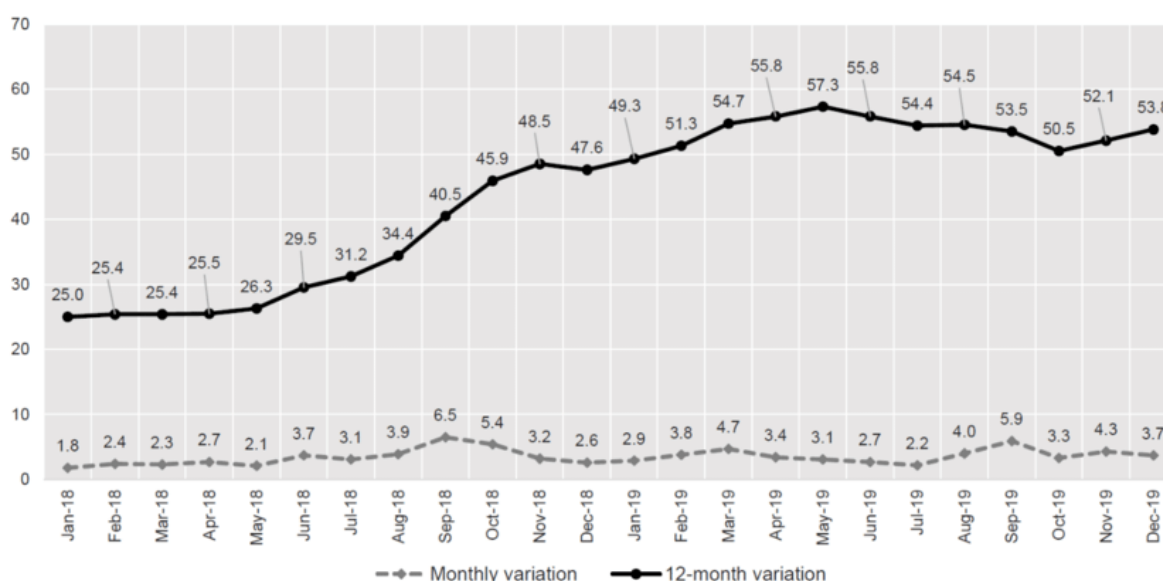
This part sets the stage for a deeper reflection: is the IMF's model truly effective, or does its success depend entirely on how and where it is applied?

### Chapter 3.1 The Case of Argentina (2018–2020)

#### *1. Context Before the IMF Program*

By 2018, Argentina's economy was entering a serious decline. Inflation was rising quickly, the national currency was losing value, and the government was running large budget deficits. At the same time, the current account deficit meaning the country was importing far more than it was exporting continued to grow. As these problems worsened, investors began to lose confidence in Argentina's economic outlook. This led to large capital outflows, with money leaving the country and putting even more pressure on the currency and financial system.

By the middle of 2018, the situation had escalated into a full-blown balance-of-payments crisis. Inflation rates surged from an average of 25.5% in 2017 to 34.3% in 2018, eroding purchasing power and consumer confidence. The Argentine peso experienced a significant devaluation, losing over 50% of its value against the US dollar within the first eight months of the year, making it one of the worst-performing currencies globally. Argentina could no longer cover its international obligations. In response, the country turned to the IMF for financial support to stabilize the economy and restore confidence.



**Figure 3.** Inflation in Argentina (2018–2019): Monthly and 12-Month Variation (%)

Source: INDEC (Instituto Nacional de Estadística y Censos), 2019.

## 2. The IMF Program: Goals and Conditions

In June 2018, the International Monetary Fund approved a \$57 billion Stand-By Arrangement (SBA) for Argentina, the largest loan in the IMF’s history at that time. The program was designed to address the country’s rapidly worsening economic crisis. According to the official agreement, the IMF and the Argentine government set out several key goals:

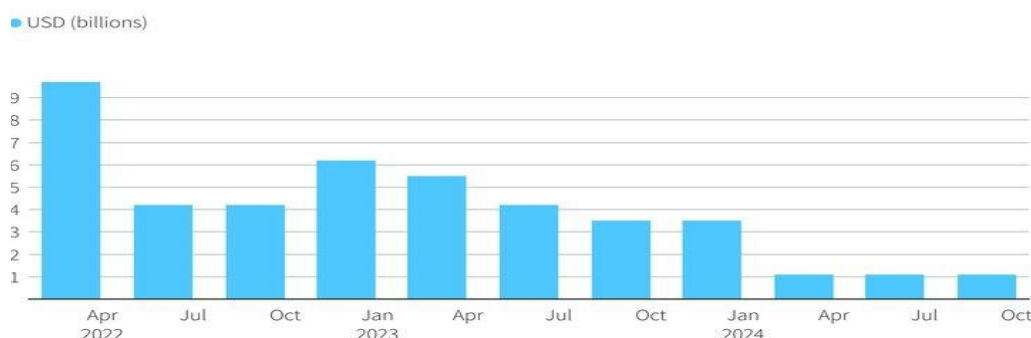
- Restore market confidence
- Reduce the fiscal deficit through austerity
- Tighten monetary policy to fight inflation
- Strengthen the central bank’s independence
- Allow greater exchange rate flexibility

The IMF’s approach reflected its traditional stabilization framework: fiscal consolidation, tight monetary control, and structural reform. The program’s core fiscal condition was a commitment to achieve a zero primary deficit by 2019 and adopted a strict no-money-financing rule for the central bank which strictly prohibited the central bank from printing money to fund government spending

To support this framework, the program relied on optimistic projections. The IMF and the Argentine government expected a gradual improvement in key macroeconomic indicators, including inflation, GDP growth, and international reserves. These expectations are shown in the official forecasts presented below:

## Argentina: IMF payouts

Argentina is expected to receive some 11 disbursements in its new deal with the IMF, with front-loaded payments starting with close to \$10 billion once the final deal is signed off by Congress and the IMF board.



**Figure 4.** Projected IMF Disbursement Schedule for Argentina (2022–2024)

Source: Argentina government

## Argentina: Economic Targets

Argentina has set economic targets for the 2022-2024 period as part of a \$45 billion extended fund facility with the International Monetary Fund.

| date | GDP Growth (%) | Inflation (%) | Primary fiscal balance (% of GDP) | Current Account (% of GDP) | Change in Net Int'l Reserves (billion USD) |
|------|----------------|---------------|-----------------------------------|----------------------------|--------------------------------------------|
| 2021 | 10.2           | 50.9          | -3.0                              | 1.3                        | -1.5                                       |
| 2022 | 3.5-4.5        | 38-48         | -2.5                              | 0.5                        | 5.8                                        |
| 2023 | 2.5-3.5        | 34-42         | -1.9                              | 0.4                        | 4.0                                        |
| 2024 | 2.5-3          | 29-37         | -0.9                              | 0.3                        | 5.2                                        |

**Figure 5.** Forecasted Macroeconomic Indicators Under the IMF Program

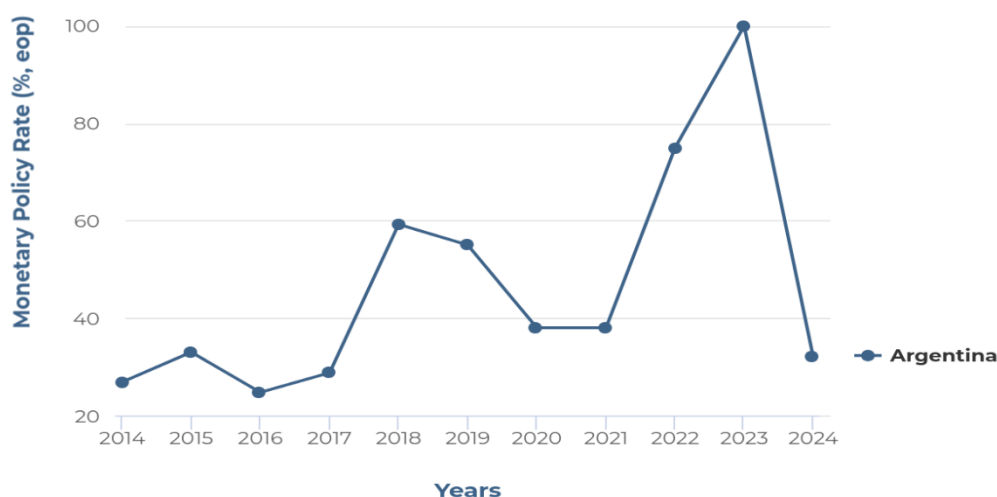
Source: Argentina government projections submitted to the IMF.

These two figures illustrate the reasoning behind the IMF's program design. The plan was to disburse a large portion of the loan early on a strategy known as front-loading in order to stabilize the economy quickly and restore market confidence. In parallel, Argentina was expected to gradually bring down inflation, eliminate the primary fiscal deficit, and rebuild its foreign currency reserves over time. This step-by-step approach reflected the assumption that immediate financial support would buy time and space for deeper economic reforms to take effect. However, as the next section will show, what happened in practice diverged sharply from these expectations.

### 3. Implementation of the Program

In the early phase of the 2018 SBA, Argentina showed strong formal compliance with IMF conditions. The government rapidly implemented fiscal consolidation measures aimed at eliminating the primary deficit. Public spending was cut through reductions in energy and transport subsidies, freezes on public sector wages, and delays in infrastructure investment. These measures contributed to a significant contraction in government expenditure by the end of 2018.

On the monetary front, the central bank adopted a new monetary policy regime based on a strict target of zero growth in the monetary base. Interest rates were raised aggressively, peaking at over 70% in late 2018, in an effort to curb inflation and prevent capital outflows. The peso was allowed to float within a defined band, with limited central bank intervention. Despite these efforts, the exchange rate remained under pressure throughout the program period.



**Figure 6.** Argentina's Central Bank Policy Interest Rate (%), 2014–2024

*Source: FocusEconomics, using data from the Central Bank of Argentina.*

To build transparency and credibility, the Macri government passed a new central bank independence law, which aimed to strengthen the institution's autonomy and limit political interference. At the same time, it committed to ending the direct financing of the fiscal deficit, meaning the central bank would no longer print money to fund government spending a move meant to reinforce the IMF's stabilization plan. In return, the IMF front-loaded nearly \$44 billion of the total \$57 billion loan about 77% disbursed by mid-2019 to quickly calm markets and restore investor confidence.

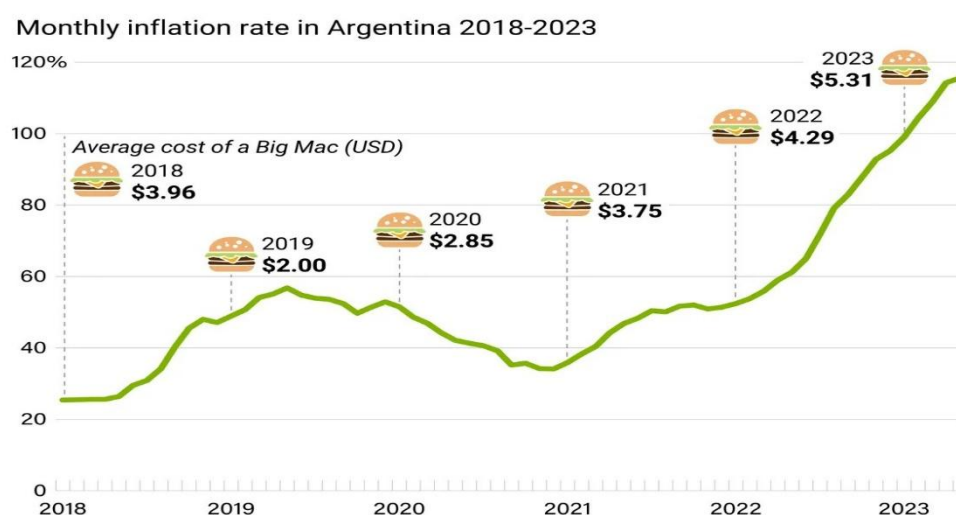
However, by the middle of 2019, the situation began to deteriorate. The IMF and Argentine authorities had to revise the program multiple times, as the country's macroeconomic indicators worsened and political tensions increased. Inflation stayed above 50%, despite extremely tight monetary policy, and the peso continued to lose value, which further reduced people's purchasing power. At the same time, poverty and unemployment were rising, leading to growing public frustration and discontent.

As the 2019 presidential election approached, uncertainty spiked. Financial markets reacted negatively to polls showing a likely return of a **Peronist government**<sup>4</sup>, which investors feared might reverse economic reforms. As capital started fleeing the country again, pressure mounted. After President Macri suffered a major electoral loss in August 2019, his government reintroduced capital controls to slow down the outflow of money, a clear reversal of the liberalization policies promoted by the IMF at the start of the program.

By the end of 2019, even though Argentina had technically met several of the IMF's targets, confidence had not returned. The IMF suspended further disbursements, and the newly elected Fernández administration officially ended the program and entered into debt restructuring talks, marking the program's collapse.

#### 4. Outcome and Consequences

The 2018 IMF Stand-By Arrangement ultimately failed to meet its main goals. Although the IMF disbursed funds quickly and Argentina complied with many of the program's formal requirements, the country did not regain market confidence. Inflation remained extremely high, and the broader economy continued to weaken. Between 2018 and 2019, the peso lost more than half of its value, annual inflation rose above 50%, and GDP contracted two years in a row shrinking by -2.5% in 2018 and -2.1% in 2019.



**Figure 7.** Argentina's Inflation and Big Mac Index (2018–2023)

*Source: GZERO Media, based on Statista and Big Mac Index data.*

This figure shows that inflation remained high throughout the IMF program and worsened after. Using the **Big Mac Index**<sup>5</sup>, the chart illustrates the peso's loss of value: the price of a Big Mac

<sup>4</sup> A **Peronist government** refers to a political movement in Argentina inspired by former president Juan Perón. It is generally associated with strong state involvement in the economy, labor rights, social welfare policies, and a populist, nationalist approach to governance.

<sup>5</sup> **The Big Mac Index** is an informal measure of currency value based on the local price of a Big Mac compared to its price in the US.

dropped to \$2 in 2019 due to devaluation, then rose to \$5.31 by 2023 as inflation accelerated. This highlights how the IMF failed to stabilize Argentina's currency or control prices.

At the same time, social conditions worsened sharply. The poverty rate jumped from around 26% in 2017 to over 35% by the end of 2019, and unemployment stayed high. While the austerity measures in the program such as cutting subsidies and freezing public sector wages helped reduce the fiscal deficit, they did so at a heavy social cost. These painful outcomes led to widespread public frustration and a strong political backlash, which ultimately contributed to the electoral defeat of President Macri in 2019.

In terms of financial credibility, the program also failed to deliver lasting results. Argentina's foreign currency reserves which are vital for stabilizing the exchange rate and paying off international obligations dropped significantly in 2019. At the same time, confidence in the peso collapsed, with capital fleeing the country and borrowing costs rising sharply. These pressures forced the government to reintroduce capital controls in late 2019, a move that effectively abandoned the IMF's recommendation for a freely floating exchange rate regime. Despite receiving more than \$44 billion in disbursements which is roughly about three-quarters of the full loan amount Argentina defaulted on its **sovereign debt**<sup>6</sup> again in May 2020, marking its ninth default in history.

The IMF itself later acknowledged that the program had major flaws. In its 2021 ex post evaluation, the Fund admitted that the plan had been "overly ambitious" and based on overly optimistic expectations about how investors would respond. It also recognized that the program underestimated Argentina's political and institutional constraints, which limited the government's ability to fully implement reforms (IMF, 2021). Additionally, the report admitted that too little attention was paid to social protections for vulnerable groups, and that the lack of strong national ownership weakened both the credibility and the sustainability of the entire effort.

In the end, even though the program closely followed the IMF's traditional stabilization formula based on fiscal austerity, tight monetary policy, and structural reforms, the results were damaging. The economy worsened, social conditions deteriorated, and political backlash intensified. The gap between the program's intentions and the country's ability to carry them out, along with weak institutions and unstable politics, made the program ineffective in practice, despite its theoretical foundations.

As of 2025, Argentina continues to struggle with some of the highest inflation rates in the world, exceeding 200 percent annually. Nearly 40 percent of the population now lives in poverty, as wages fail to keep up with rising prices. The country never fully recovered from the 2018 crisis or the IMF program that followed. Since then, persistent fiscal deficits, strict currency controls, and heavy money printing during the COVID-19 pandemic have added further pressure. Despite recent efforts to renegotiate IMF terms, Argentina remains caught in

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<sup>6</sup> A **sovereign default** occurs when a country fails to repay its national debt on time, either by missing payments or refusing to honor its debt agreements.

a cycle of inflation, **stagnation**<sup>7</sup>, and public frustration highlighting the long-term consequences of unresolved structural problems and weak institutional capacity.

## Chapter 3.2 The Case of Iceland (2008–2011)

### *1. Context Before the IMF Program*

In the years leading up to the 2008 global financial crisis, Iceland experienced rapid economic growth, largely driven by the aggressive expansion of its banking sector. Following financial deregulation in the early 2000s, the country's three main banks, Glitnir, Kaupthing, and Landsbanki grew at a remarkable pace, relying heavily on foreign borrowing to fund their activities. By 2008, the total assets of the banking system had reached nearly ten times the size of Iceland's GDP, an unsustainable level that made the economy highly vulnerable to any external financial shock.

When the global credit markets froze in late 2008, Iceland's banks could no longer refinance their international debt. Within a matter of days in October, all three major banks collapsed. The Icelandic krona lost more than half its value, inflation surged, and the country's foreign reserves were nearly depleted. In just a few weeks, Iceland's entire financial system had imploded.

Confronted with a full-scale financial meltdown, Iceland became the first advanced economy in over 30 years to request assistance from the International Monetary Fund (IMF). The crisis triggered a severe recession, a rapid increase in unemployment, and a deep loss of public confidence not only in the currency and financial institutions, but also in government leadership and public trust in the state.

### *2. The IMF Program: Goals and Conditions*

In response to the crisis, the International Monetary Fund approved a \$2.1 billion Stand-By Arrangement for Iceland in November 2008, marking the IMF's first intervention in a developed country in decades. The program was supported by additional financing from Nordic countries and other international partners.

The official goals of the program were to:

- Stabilize the exchange rate and prevent further depreciation of the króna
- Restore confidence in the financial system
- Control inflation and stabilize expectations
- Lay the groundwork for economic recovery
- Ensure medium-term fiscal sustainability

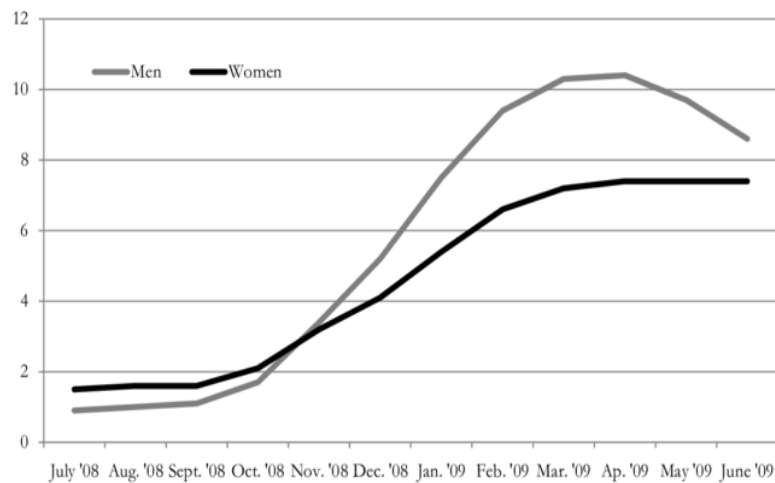
Unlike more rigid IMF programs seen in emerging economies, the Icelandic agreement was notable for its flexibility and country-specific design. Rather than enforcing immediate austerity or demanding liberalization, the IMF accepted Iceland's decision to:

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<sup>7</sup> **Economic stagnation** refers to a prolonged period of little or no growth in a country's economy, typically marked by weak GDP performance, low investment, and high unemployment.

- Impose capital controls to stop capital flight and protect the currency
- Let the banks fail instead of using public funds for bailouts
- Protect core welfare spending during the adjustment period, unlike many IMF programs that impose sharp cuts to public services.
- Delay major fiscal consolidation until economic conditions stabilized

The program was designed to unfold in two phases. The first phase focused on short-term stabilization and rebuilding reserves, preventing financial panic, and controlling inflation. The second phase emphasized a gradual fiscal adjustment path, including measures to increase revenue and improve expenditure efficiency. Structural benchmarks were relatively limited and focused mainly on strengthening banking supervision and institutional resilience.

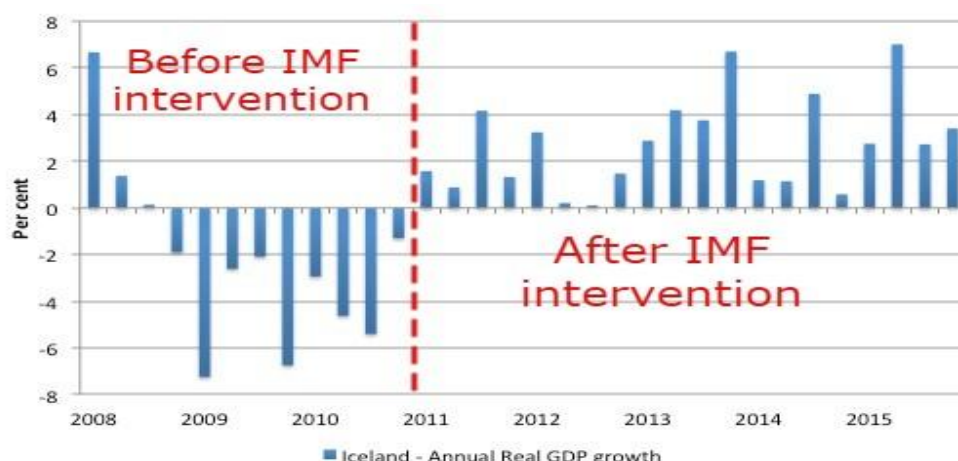


**Figure 8.** Unemployment in Iceland before IMF's intervention (2008-2009)

Source: ResearchGate

### 3. Outcome and Consequences

The results of Iceland's IMF-backed program were widely considered a success, especially when compared to other crisis-struck economies during the same period. By 2011, Iceland had exited recession, restored financial stability, and returned to solid economic growth. The GDP contracted sharply in 2009 (−6.8%) but rebounded quickly, growing by 3.1% in 2011, followed by continued expansion in the following years. In contrast to many IMF cases where austerity delays recovery, Iceland's economic rebound came relatively quickly and with less social disruption.



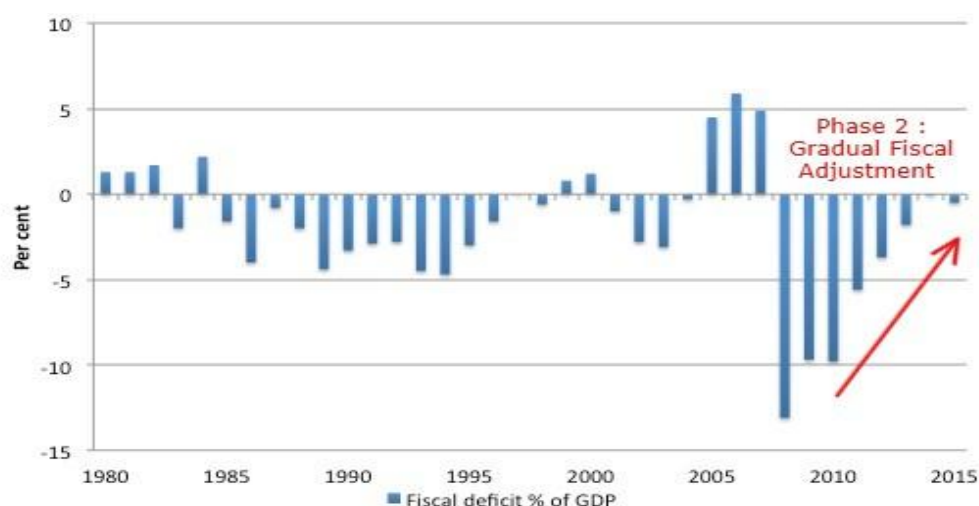
**Figure 9.** Annual Real GDP Growth of Iceland Before and After IMF Program

*Source: IMF Country Report No. 17/163 – Iceland: Selected Issues (2017).*

One of the key reasons for this outcome was the unconventional policy mix that Iceland adopted with the IMF’s approval. Capital controls remained in place far longer than typical for IMF programs, preventing capital flight and stabilizing the currency. The IMF’s flexibility in this regard allowed Iceland to avoid a complete financial collapse and preserve a degree of control over monetary policy. The króna was allowed to depreciate significantly in 2008-2009, which led to a temporary spike in inflation, but also sharply improved the country’s export competitiveness. By 2011, inflation had begun to stabilize, and the central bank gradually lowered interest rates to support growth.

The decision to let the banks fail and isolate foreign liabilities rather than rescuing them with public funds proved to be a turning point. This prevented Iceland from falling into a sovereign debt crisis, as the government did not assume the private sector’s external debt. Instead, domestic banking services were maintained through newly created state-owned banks that served local needs, while the burden of losses was placed on foreign creditors.

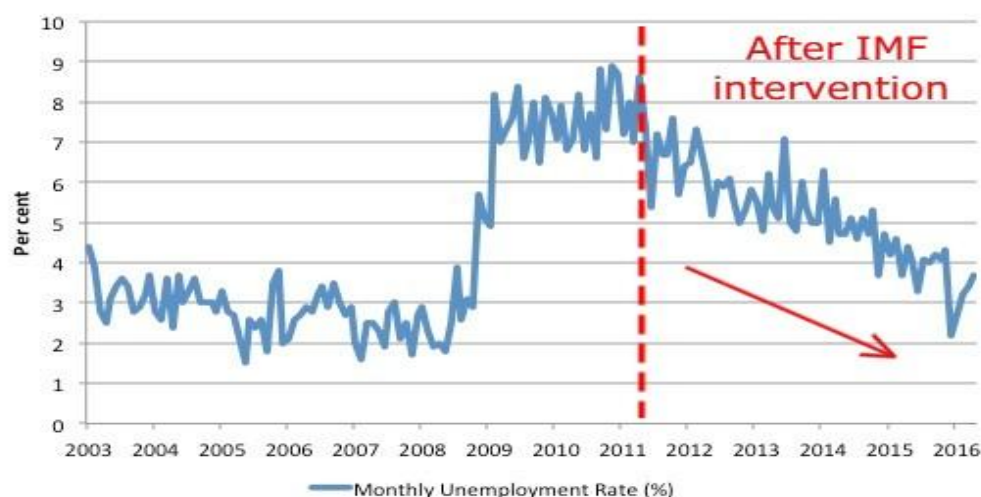
Fiscal policy followed a gradual adjustment path. The government implemented tax increases (such as higher VAT and income taxes) and improved collection efficiency, but it protected core social spending, including education, healthcare, and pensions. This approach helped avoid the sharp rise in poverty and social unrest that characterized crisis management in countries like Argentina or Greece. Public trust in government, though shaken during the crisis, recovered relatively quickly due to the perception that adjustment was fairly shared and not imposed by foreign actors.



**Figure 10.** Fiscal Deficit of Iceland as % of GDP with Post-Crisis Fiscal Adjustment

Source: IMF Article IV Consultation – Iceland: Staff Report for the 2017 Article IV Consultation (IMF Country Report No. 17/163).

By 2015, Iceland had fully repaid its IMF loan ahead of schedule. The country regained access to international capital markets, rebuilt its foreign reserves, and eventually removed capital controls without triggering renewed instability. Unemployment, which peaked at over 9% in 2010, steadily declined to under 4% by 2017.



**Figure 11.** Monthly Unemployment Rate in Iceland Before and After IMF Intervention

Source: International Monetary Fund (IMF), Country Report No. 17/163 – Iceland: Selected Issues (2017).

The IMF itself acknowledged the program's success in its post-program assessment. It highlighted Iceland's strong institutional capacity, high degree of policy ownership, and the decision to tailor the program to local conditions as key factors in its effectiveness. The Iceland case demonstrated that flexibility, sequencing, and selective use of heterodox tools such as capital controls and targeted fiscal protection could be more effective than rigid application of the standard playbook.

## Part 4 Between Success and Failure: What Really Shapes IMF Program Results? A Critical Analysis

After examining the theoretical foundations of the IMF's intervention model, reviewing major academic debates, and analysing two contrasting case studies, we now return to the central question of this *mémoire*: *Are IMF recovery programs effective tools for post-crisis economic stabilization and growth, or does the gap between theoretical design and real-world complexity undermine their success?*

This part does not seek to give a simple yes-or-no answer. Instead, it evaluates the conditions under which the IMF model has succeeded or failed, using the experiences of Argentina and Iceland not as isolated cases, but as examples that reveal broader structural patterns. Both countries turned to the IMF during moments of severe economic crisis, but their outcomes diverged dramatically.

By comparing these outcomes and linking them back to the broader academic debates, this part seeks to identify what really determines the success or failure of IMF interventions. Is it the design of the reforms themselves? The capacity of domestic institutions to implement them? The flexibility of the program? Or is it something more political, rooted in questions of legitimacy, ownership, and public trust?

The goal of this analysis is not just to recap previous sections, but to test the IMF's recovery model against the realities of crisis response. Through this comparison, we aim to understand both the model's strengths and its limits and to think critically about what a more adaptable and effective approach might look like.

### Chapter 4.1. The Case for the IMF Approach: When and Why It Works

The International Monetary Fund was created to help stabilize economies in crisis and in certain cases, its intervention has worked as intended. The experience of Iceland shows that, under the right conditions, the IMF framework can contribute meaningfully to recovery. To understand why, we must look at what happens when theory and implementation align with institutional and political realities.

At its core, the IMF's approach focuses on restoring macroeconomic balance. This typically involves tightening fiscal and monetary policy, reducing deficits, and controlling inflation, with the aim of restoring investor confidence, protecting foreign reserves, and reopening access to international credit markets. This logic can work but only when the policy steps are well-sequenced and realistically matched to a country's institutional and political capacity.

Iceland's recovery was successful not because it rigidly followed the IMF's standard playbook, but because the program was adapted to its context. The Fund allowed the use of capital controls, accepted the government's decision to let private banks default, and supported a gradual path to fiscal consolidation. These departures from orthodoxy were essential. By giving Iceland time and flexibility, the program helped prevent the kind of financial panic and social breakdown seen in other crises.

Equally important was Iceland's institutional strength. The country had a functioning public administration, democratic legitimacy, and political space to design and own its recovery strategy. This created public trust and made implementation smoother especially when compared to countries with fragmented governments or low state capacity.

Another factor was the role of external credibility. The presence of the IMF helped Iceland signal seriousness to markets and gain access to additional financing from Nordic neighbors. In this way, the IMF served less as a policymaker and more as a stabilizing anchor arguably its most effective role in crisis contexts.

In summary, the IMF model is most effective when five key conditions are in place:

1. The program is adapted to local realities
2. The country retains a sense of ownership over reforms
3. Institutions are capable of implementing change
4. The pace of adjustment is realistic, not rushed
5. External support is used to stabilize confidence, not impose uniform blueprints

When these conditions come together, the IMF can play a valuable role in crisis recovery. But, as the next section will show, such alignment is the exception, not the rule and its absence often lead to failure.

## Chapter 4.2. Why the IMF Often Fails ?

While the IMF's recovery framework has succeeded under specific conditions, as seen in Iceland, it has more often struggled especially in countries facing institutional fragility, political instability, or limited public support. In such contexts the IMF can end up doing more harm than good.

The case of Argentina illustrates this disconnect clearly. The 2018 Stand-By Arrangement was based on restoring investor confidence through fast fiscal consolidation and strict monetary policy. Yet despite Argentina's formal compliance with key IMF targets, the economy worsened. Inflation surged, the peso collapsed, poverty increased, and the country defaulted again in 2020. The program did not stabilize the economy it accelerated its deterioration.

One major reason for failure lies in overly optimistic assumptions. The IMF often expects markets to respond positively to signals of “discipline” such as budget cuts or independent central banking, but this assumes a level of credibility and stability that fragile economies do not have. In Argentina, confidence did not return instead, the adjustment measures triggered political backlash, capital flight, and deep social costs.

A second recurring issue is the lack of policy flexibility. Many IMF programs apply a uniform set of tools we mentioned earlier regardless of local conditions. This one-size-fits-all approach, heavily criticized by economists often ignores the complex social and institutional realities on the ground. In Argentina, these reforms were applied in the middle of an election cycle, with weak political consensus and limited institutional capacity a context in which deep reform was neither realistic nor sustainable.

Finally, the IMF has historically underestimated the social costs of adjustment. Cutting subsidies, freezing public wages, or increasing VAT may improve macroeconomic indicators, but they often come at the expense of the poor and middle class. Without but without safety nets, these measures hit the poor hardest increasing inequality and instability, further destabilizing recovery.

In short, IMF programs tend to fail when:

1. Reforms are imposed too quickly, with little space for adaptation
2. Political and institutional contexts are ignored
3. Public trust and participation are weak
4. Social protections are sacrificed for short-term fiscal targets
5. The program is more about sending a market signal to international investors than building real reform capacity

These recurring problems suggest not just implementation issues but structural flaws in how the IMF designs and applies its recovery framework. The next section explores these variables more closely by comparing the Argentine and Icelandic experiences side by side.

### Chapter 4.3. What Really Determines Success or Failure?

The different outcomes in Argentina and Iceland show that the success of an IMF recovery program depends less on the policies themselves and more on the context in which they are applied. The same tools austerity, monetary tightening, structural reform can lead to recovery or collapse depending on how they are implemented.

One key factor is policy ownership. In Iceland, the government shaped its own program and retained public trust. In Argentina, reforms were widely seen as imposed by the IMF, leading to political resistance and eventual breakdown. Institutional capacity also played a central role. Iceland’s strong public institutions were able to carry out reforms effectively, while Argentina struggled to implement complex measures under pressure.

Flexibility in program design made a major difference. The IMF allowed Iceland to adopt capital controls and adjust its pace of reform but applied a more rigid and front-loaded approach in Argentina. Timing also mattered, Iceland prioritized short-term stabilization first, while Argentina tried to push multiple reforms at once during a politically sensitive moment. Finally,

Iceland maintained key social protections during the crisis, while Argentina's spending cuts led to rising poverty and loss of public support.

These differences go to the heart of whether IMF programs succeed or fail. Without national ownership, institutional strength, and space for adaptation, even technically sound policies can collapse under real-world pressure.

## Chapter 4.4. What Needs to Change?

What stands out from this analysis is that the problem with IMF programs isn't just how they're applied but also how they're designed. The IMF often comes in with a standard framework we called before "The Playbook" which consists of cutting spending, raising interest rates, and liberalization by opening markets. But as we've seen, real-life crises are a lot more complicated than that. Countries have different histories, different institutions, and different levels of political and social stability. When the IMF ignores those differences, things often go wrong.

The Iceland case showed that when the program is flexible recovery is possible. Iceland didn't follow the usual rules. It kept capital controls, let its banks fail, and didn't rush into austerity. And it recovered. That should be a lesson: there's no one-size-fits-all solution.

The second big point is about ownership. Reforms only work when they're understood, accepted, and led by the country itself not when they're pushed from the outside (Argentina case). Too often, IMF programs are negotiated in closed rooms between a few officials and IMF staff, and the rest of the government, not to mention the public, is left out. Then when the reforms get tough, nobody wants to defend them. That's how programs fall apart.

The third problem is that the IMF tends to assume countries can implement complex reforms overnight. But many countries don't have the institutions, the staff, or the political support to do that. And when social spending is cut too fast, it's often the poor who pay the price. That's not just unfair moreover it's risky. If people lose trust in the government or feel abandoned, the whole program can collapse.

Finally, the IMF also needs to change how it defines success. As several critics have noted, staff are often rewarded for designing ambitious programs that check all the technical boxes for example whether the program looks good on paper, whether the deficit is down, or the inflation target was hit. But that doesn't mean the country is actually recovering. A successful program should also be politically sustainable and socially fair. It should help build long-term stability, not just short-term numbers.

To be clear, this isn't to say the IMF has no role to play. In many cases, its support is essential especially when countries are in free fall. But that support needs to be more flexible, more realistic, and more connected to what's actually happening on the ground. Until that happens, IMF programs will keep falling short not because the crises are unsolvable, but because the solutions being applied are too rigid for the real world.

## Conclusion

This mémoire set out to answer a complex question: *Are IMF recovery programs truly effective, or does the gap between theory and real-world conditions undermine their success in emerging economies?* To respond, we first explored the IMF's theoretical framework and the academic debates that surround it. We then looked closely at two contrasting cases: Argentina and Iceland, to examine how the same institution, with similar tools, produced entirely different results.

The findings are clear: the IMF model can work, but only under the right conditions. In the end of the day what makes the difference is not just the policies, but how they are applied. Ownership, institutional strength, social protection, and political context matter just as much, if not more, than macroeconomic indicators. Programs that ignore these realities are unlikely to succeed, no matter how well-designed they look on paper.

This doesn't mean the IMF is doomed to fail. On the contrary, it can play a critical role in helping countries navigate economic collapse. But to do so effectively, it must shift from being a source of strict templates to becoming a partner in realistic and country-led reform. Flexibility, humility, and a willingness to adapt are what make recovery possible.

In the end, the challenge for the IMF is not just technical but human. Crises don't happen in models rather they happen in countries. And recovery is never just a matter of numbers it's also about people, institutions, and trust.

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